

26TRCV00802 26TRCV00802

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Case Number: 26TRCV00802 Hearing Date: August 27, 2026 Dept: M

LOS ANGELES SUPERIOR COURT – SOUTHWEST
DISTRICT

Honorable Amy N. Carter Thursday,
August 27, 2026

Department M Calendar No.

PROCEEDINGS

Jessica Almanza v. SchoolsFirst Federal
Credit Union, et al.

26TRCV00802

1. SchoolsFirst Federal Credit Union, et al.'s Motion to
Compel Arbitration and to Dismiss the Case

STATEMENT OF DECISION

SchoolsFirst Federal Credit Union,
et al.'s Motion to Compel Arbitration and to Dismiss the Case is denied.

Background

Plaintiff filed the Complaint on March

5, 2026. Plaintiff alleges the following facts. Plaintiff is a former employee
of Defendants. Plaintiff alleges that she was subjected to workplace hostility

by a manager. Later, Plaintiff was subjected to discriminatory and retaliatory conduct based on a perceived disability and/or injury. In addition, Plaintiff was subjected to discriminatory and retaliatory conduct for whistleblowing activity by complaining of sexual harassment, not directed to her, but which was directed to a co-worker.

Request for Judicial Notice

Defendants' request for judicial notice is granted pursuant to Evidence Code 452(h).

Motion to Compel Arbitration

"California law reflects a strong public policy in favor of arbitration as a relatively quick and inexpensive method for resolving disputes.

[Citation.] To further that policy, [Code of Civil Procedure]

section 1281.2 requires a trial court to enforce a written arbitration

agreement unless one of three limited exceptions applies. [Citation.]

Those statutory exceptions arise where (1) a party waives the right to arbitration; (2) grounds exist for revoking the arbitration agreement; and (3) pending litigation with a third party creates the possibility of conflicting rulings on common factual or legal issues.

(§ 1281.2, subds. (a)–(c).)" Acquire

II, Ltd. v. Colton Real Estate Group (2013) 213 Cal.App.4th 959, 967.

"The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." *Giuliano v. Inland Empire Personnel, Inc.* (2007) 149 Cal.App.4th 1276, 1284.

"The party opposing arbitration has the burden of demonstrating that an arbitration clause cannot be interpreted to require arbitration of the dispute. Nonetheless, this policy does not override ordinary principles of contract interpretation. [T]he contractual terms themselves must be carefully examined before the parties to the contract can be ordered to arbitration: Although [t]he law favors

contracts for arbitration of disputes between parties, there is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate." Rice v. Downs (2016) 247 Cal.App.4th 1213, 1223 (internal citations and quotations omitted).

In Rowe v. Exline (2007) 153 Cal.App.4th 1276, 1286, the Court of Appeal found that "a nonsignatory sued as an agent of a signatory may enforce an arbitration agreement." Id. at 1286. In addition, "a nonsignatory who is the agent of a signatory can even be compelled to arbitrate claims against his will." Id. at 1285, citing Harris v. Superior Court (1986) 188 Cal.App.3d 475, 477–78. Further, "in many cases, nonparties to arbitration agreements are allowed to enforce those agreements where there is sufficient identity of parties." Valley Casework, Inc. v. Comfort Construction, Inc. (1999) 76 Cal.App.4th 1013, 1021. This includes nonparties as agents of a party as well as "a third party beneficiary of an arbitration agreement." Ibid.

Defendants move for an order compelling arbitration of Plaintiff's claims, and for an order to dismiss the action. The motion is made pursuant to Code of Civil Procedure §1281 et seq. and the Federal Arbitration Act ("FAA") on the grounds that Plaintiff is bound by a written agreement to arbitrate the subject matter of the Complaint.

Code Civ. Proc., § 1281.2 states, in relevant part: "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists[. . .]" "Generally, an arbitration agreement must be memorialized in writing. A party's acceptance of an agreement to arbitrate may be express, as where a party signs the agreement. A signed agreement is not necessary, however, and a party's acceptance may be implied in fact or be effectuated by delegated consent. An arbitration clause within a contract may be binding on a party even if the party never actually read the clause." Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236 (internal citations omitted). It is not an adequate defense to enforcement that Plaintiff failed to read and understand the agreement before signing the agreement. Caballero v. Premier Care Simi

Valley LLC (2021) 69 Cal.App.5th 512, 519.

The burden of production of evidence in the context of a motion to compel arbitration was cogently articulated by the following case. “First, the moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy. The moving party can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature. Alternatively, the moving party can meet its burden by setting forth the agreement's provisions in the motion. For this step, it is not necessary to follow the normal procedures of document authentication. If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion. [¶] If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. [¶] If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party.” *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166 (internal citations and quotations omitted).

Defendants have met its initial to burden to establish the existence of an arbitration agreement between Plaintiff and Defendants pursuant to the employment agreement. The agreement states, in part: “This arbitration agreement will apply to all of SchoolsFirst's affiliates, successors, officers, directors, or agents. It shall include, without limitation, claims by you and claims by SchoolsFirst against you, including: Disputes relating to this Agreement; Your employment by SchoolsFirst or the termination thereof; Claims for breach of contract or breach of the covenant of good faith and fair dealing; Claims of discrimination, harassment or retaliation, or other claims under Title VII of the Civil Rights Act of 1964, the Age Discrimination in Employment Act, the Americans With Disabilities Act, the Family and Medical Leave Act, the Fair Labor Standards Act, the California Fair Employment and Housing Act, the California Labor and Government Codes; Claims for wages or

penalties; Claims by you or SchoolsFirst for unfair competition; Or claims under any other federal, state or local law or regulation now in existence or hereinafter enacted and as amended from time to time arising out of or concerning in any way the subject of your employment with SchoolsFirst or its (sic)." (Decl., Enrique Cano, Ex. A).

In addition, although Defendant Ashley Franklin is not a signatory to the agreement she may enforce the agreement based on Plaintiff's allegations that she is an agent of Defendant SchoolsFirst. (Complaint, ¶¶ 2-4).

Thus, the burden shifts to Plaintiff to produce evidence to challenge the authenticity of the agreement, by, for example, challenging that she ever signed or agreed to the agreement. Plaintiff presented arguments challenging the authenticity of the agreement. However, Plaintiff failed to submit competent evidence to challenge the authenticity of the agreement which would have shifted the burden back to Defendants. The pertinent portions of Plaintiff's declaration states as follows: "I have no recollection of ever seeing, reviewing, or signing this Arbitration Agreement. I do not remember anyone at SchoolsFirst ever presenting this document to me, discussing arbitration with me, or explaining that I was waiving my constitutional right to a jury trial as a condition of my employment." (Decl., Almanza, ¶ 4 (emphasis added)). Having no recollection is not a sufficient basis to challenge authenticity. This statement is not an unequivocal denial of ever executing and signing the agreement.

In fact, later, Plaintiff appears to tacitly acknowledge signing the agreement by stating: "During my onboarding process, I was instructed to log into SchoolsFirst's online Workday portal using temporary credentials to complete a large number of digital "onboarding tasks." I completed these tasks rapidly on my mobile phone screen. The portal presented a massive, continuous list of policies, handbooks, and documents that I had to click through. There was no human resources representative present to explain any of the files, and the portal did not force me to open, scroll through, or read the Arbitration Agreement. The Arbitration Agreement and onboarding files were presented to me on a strict, non negotiable, "take-it-or-leave-it" basis. I was required to complete these tasks to secure and maintain my employment. I had already resigned from my previous job to accept this position, and I was in no economic position to refuse SchoolsFirst's onboarding requirements." (Id. at ¶¶ 5, 7).

Thus, the burden does not shift back to Defendants to show the existence of the valid arbitration agreement. Having established the existence of a valid arbitration agreement, the burden shifts to Plaintiff to show that the arbitration clause should not be enforced. *Rice*, supra, 247 Cal.App.4th at 1223. Plaintiff has met her burden to show that the arbitration agreement should not be enforced.

Plaintiff's entire action is exempt from arbitration pursuant to the federal Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act of 2021 ("EFAA") (9 U.S.C. §§ 401–402). 9 U.S.C.A. § 402(a) states: "Notwithstanding any other provision of this title, at the election of the person alleging conduct constituting a sexual harassment dispute or sexual assault dispute, or the named representative of a class or in a collective action alleging such conduct, no predispute arbitration agreement or predispute joint-action waiver shall be valid or enforceable with respect to a case which is filed under Federal, Tribal, or State law and relates to the sexual assault dispute or the sexual harassment dispute." "The term 'sexual harassment dispute' means a dispute relating to conduct that is alleged to constitute sexual harassment under applicable Federal, Tribal, or State law." 9 U.S.C.A. § 401(4).

Defendants argue that the EFAA is inapplicable because Plaintiff has not alleged sexual harassment directed against herself but, instead, directed against a fellow employee. "[Defendant's] interpretation is also flawed to the extent it equates a " 'sexual harassment dispute' " as defined in section 401(4) with a sexual harassment claim. Under section 401(4), " 'sexual harassment dispute' means a dispute relating to conduct that is alleged to constitute sexual harassment under applicable Federal, Tribal, or State law." This is broader than merely claims alleging sexual harassment. For example, cases have recognized that a claim alleging retaliation for complaining about sexual harassment is a 'sexual harassment dispute.'" *Liu v. Miniso Depot CA, Inc.* (2024) 105 Cal.App.5th 791, 804, fn. 5. Defendant has not submitted specific authority to establish that a retaliation claim for whistleblowing activity related to complaints made about a fellow co-worker being sexually harassed, as opposed to Plaintiff being sexually harassed, does not fall under the definition of a "sexual harassment dispute."

"[A] dispute arises for purposes of the EFAA when an employee registers disagreement—through either an internal complaint, external complaint, or otherwise—with his or her employer, and the employer expressly or constructively opposes that position." *Combs v. Netflix, Inc.*, 180 F.4th

1201, 1205 (9th Cir. 2026) (internal citations and quotations omitted). Plaintiff alleges that she made complaints regarding the sexual harassment in May 2025 after the effective date of the EFAA. Plaintiff's entire case is exempt from arbitration. "[W]e hold that where a plaintiff's lawsuit contains at least one claim that fits within the scope of the EFAA, 'the arbitration agreement is unenforceable as to all claims asserted in the lawsuit.'" Casey v. Superior Court (2025) 108 Cal.App.5th 575, 588 (emphasis added).

The Court deems Plaintiff's arguments concerning waiver and unconscionability moot as authority exists to establish that Plaintiff's entire action is not subject to arbitration based on the provisions of the EFAA.

Thus, Defendants SchoolsFirst Federal Credit Union, et al.'s Motion to Compel Arbitration and to Dismiss the Case is denied.

Plaintiff is ordered to give notice of this ruling.